

The 6:15

SATURDAY · AUGUST 22, 2026

NO. 5

THE BOARD

CALENDAR · WEEKEND, CONDENSED

Mon–Wed	Bessent's promised Iran sanctions land Mon 8/24; Cook's response deadline & NVDA/CRM/CRWD/HP earnings + PCE/GDP/durables all converge Wed 8/26.
Thu–Tue	Marvell + claims Thu 8/27 as Jackson Hole opens (Warsh's first keynote Fri 8/28); MSFT targets a Sept. Maia 300 reveal; next FOMC Tue 9/16.

METRICS · FRI 8/21 CLOSES/SETTLES (MARKETS SHUT THROUGH SUN)

Oil / rates	Brent \$93.78 (+2.4%), WTI (Oct) \$87.83 (+2.3%), highest since 7/24; 2Y/10Y/30Y 3.80%/4.53%/5.27% — bear-steepener on the week.
Equities / other	S&P 7,674.37 (+0.4%), Dow 53,277.01 (+1.0%), Nasdaq 26,180.45 (+0.4%), 2nd straight weekly loss; gold \$4,577–4,633 (range unreconciled), DXY -0.7% wk; Nikkei 66,016 (-0.3%), Hang Seng 26,009.46 (+1.2%); gas \$4.1092/gal.

VIX spiked intraday Fri per commentary but no clean closing print confirmed this run (flag). Gold range spans four quote sources at different times — not reconciled.

HORMUZ COUNTERS · STRAITS.LIVE DATES CLOSURE FROM THE 2/28 STRIKES

Closure	Day 174 Fri 8/21 (straits.live) → Day 175 today; globalsecurity.org's independent count agrees on elapsed time, differs by a day on the Day-1 convention.
Transits	236 vessels Aug 1–19, 148 (63%) AIS-dark (Kpler/Fox pickup single-sourced) — a monthly count, distinct from PortWatch/Lloyd's List's own (no fresh read this run).
Dark tankers, 24h	98 (straits.live, 8/21) vs. 92 on 8/17 — no fresh 7-day avg. to confirm trend cleanly, but climbing.
Strikes	None new on shipping since 8/14–15; cumulative count unchanged (~56–65, sourcing still diverges).

War-risk premium	40.0x pre-crisis, ~\$250K → \$10.0M/VLCC top of band (straits.live) — up from the 30.0x figure flagged stale last issue; 6 P&I clubs now withdrawn.
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Three non-comparable universes this issue: Kpler's monthly transit/dark-ship count, straits.live's rolling 24h AIS-dark snapshot and war-risk pricing, and PortWatch/Lloyd's List's lagged counts (no fresh read). Don't net or average across them.

TRANSACTIONS

Yankees	No moves; 5th straight win (see Sports).
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Knicks	Hart's 4-yr, \$132M-ceiling extension (eligible since 8/10) still unsigned; reporting narrowed the realistic deal to ~3-yr, \$60–62M.
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Northwestern	No moves; opener still Sat 9/5 vs. South Dakota State.
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LEAD

FED · CONSUMER · OIL

A hawkish Fed, a blown retail comp print, and Hormuz-driven oil collide — the "bad-data-is-good-news" trade breaks down

Wednesday's FOMC minutes did something markets hadn't priced: they showed the case for a rate *increase*, not a cut, moving well beyond the three regional presidents (Cleveland's Beth Hammack, Minneapolis's Neel Kashkari, Dallas's Lorie Logan) who dissented in favor of a quarter-point hike at the 9-3 vote to hold at 3.50%–3.75%. There was reportedly no discussion of a cut anywhere in the minutes — a real reversal from a debate that began 2026 assuming inflation would cool enough to ease. That single document did more to move the rates market this week than any data print: the 2-year yield actually fell on the week (3.80% Fri) while the 10-year and 30-year rose (4.53%/5.27%), a bear-steepener that reads as the market pricing a Fed that holds short rates higher for longer while long-end term premium widens on fiscal and inflation-persistence worry. Gold caught the same bid, pushing above \$4,600/oz Friday — its highest

since mid-May — on a combination of that fiscal unease and safe-haven demand tied to Hormuz.

Into that setup landed Walmart's Wednesday print, arguably the most important data point of the week for anyone tracking the consumer. Revenue beat (\$187.9B, +5.9% YoY) and adjusted EPS beat (\$0.81 vs. \$0.74 consensus), but U.S. comparable sales slowed to 2.6% — the weakest pace in more than six years — and full-year EPS guidance (\$2.80–\$2.87) came in below the \$2.90 Street consensus. The stock fell more than 9% intraday. Target and TJX told a friendlier version of the same story — value retailers still winning traffic — while Lowe's flagged renewed consumer hesitation on large discretionary purchases; Home Depot backed its outlook. Put together: the "growth-scare data is Fed-friendly" pattern flagged in the last issue has broken. The Fed is now leaning hawkish at the exact moment consumer-spending data is cracking at the edges — a combination the market hasn't had to price in this cycle, and one that puts real weight on Kevin Warsh's first Jackson Hole keynote as Fed chair next Friday.

Oil is the wildcard layered on top. Brent settled Friday at \$93.78 (+2.4%) and WTI's October contract at \$87.83 (+2.3%), both the highest since July 24, as the Strait of Hormuz crisis entered its 175th day with no reopening in sight and fresh escalation: the 60-day US-Iran memorandum deadline expired Monday with no deal, Trump threatened Sunday to bomb Oman if it interferes with negotiations he's simultaneously conducting outside official channels, and the UAE — a US-aligned Gulf state that had stayed commercially engaged with Tehran throughout the war — cut off all trade, commercial and financial dealings with Iran after intercepting two Iranian ballistic missiles Tuesday. A sustained push toward \$95

Brent adds directly to the same inflation-persistence case the FOMC minutes just made room for, which is the mechanism connecting all three stories this week: a hawkish Fed, a cracking consumer, and an oil market pricing supply risk from a war with no negotiated end in sight, all converging on Warsh's Jackson Hole debut.

POLITICS

Primary results from Alaska, Florida and Wyoming (8/18–19) reshaped several 2026 general-election matchups. Former Rep. Mary Peltola (D) advanced to face incumbent Sen. Dan Sullivan (R) in Alaska, a race Cook Political Report now rates a toss-up. In Florida, Trump-endorsed Rep. Byron Donalds is the heavy favorite for the GOP gubernatorial nod to succeed term-limited Gov. DeSantis, while state Rep. Angie Nixon won the Democratic primary. In Wyoming, Rep. Harriet Hageman is running to replace retiring Sen. Cynthia Lummis, drawing nine other Republicans into her now-open House seat. Separately, the House-Senate funding gap (House's Dec. 4 CR vs. the Senate's 90-6, Dec. 11 version) remains unresolved with the House still in recess until early September — unchanged since last issue. The White House's Aug. 26 deadline for Fed Gov. Lisa Cook to respond to renewed mortgage-fraud removal allegations is now five days out; Cook has disputed the claims and said in prior remarks she's "prepared to act" on inflation.

ECONOMICS

Wednesday's FOMC minutes are covered in the Lead. The week's other economic data point was consumer-facing, not macro: this week's five-name retail earnings cluster (HD, TGT, LOW, TJX, WMT) is now the freshest read on household spending since July's

retail-sales miss, and it came back split rather than uniformly weak — value-oriented chains (Target, TJX) held up, discretionary-exposed Lowe's did not, and Walmart's guidance cut is the one figure the market treated as a verdict on the consumer overall. No fresh CME FedWatch September snapshot was confirmed this run to replace the 8/14 estimate carried last issue; treat any specific probability as stale until a current one is verified.

BUSINESS

Walmart's CFO commentary and stock reaction are in the Lead. Elsewhere: Tesla had its best week since May, up roughly 5%, with Nevada regulators approving the company's application to run an autonomous-vehicle network in Clark County (Las Vegas) and reporting pointing to an August Cybercab robotaxi launch. Boeing's engineers' union rejected a new contract offer and voted to authorize a strike — labor risk to watch, no strike date confirmed this run. Databricks closed a \$5B round at a \$190B valuation on 8/13 (Coatue-led, with Blackstone, MGX, T. Rowe Price, Sixth Street) — already a week old but the largest VC print of the month and not previously logged in this brief.

TECHNOLOGY

OpenAI shipped GPT-5.6-Cyber on 8/10, a cybersecurity-specialized model built on GPT-5.6 Sol, offered through a vetted-defender "Daybreak Red" tier with a reported 95% completion rate on OpenAI's internal offensive-security eval — notable as the first frontier lab model explicitly built for vulnerability discovery and exploit-chain development rather than general use. Microsoft is now confirmed across multiple outlets (not single-sourced, unlike last

issue's flag) to be in talks for 300,000+ Maia 300 AI accelerator units from TSMC for 2027 delivery, with a public unveiling targeted for September; Nvidia still holds an estimated 60% of TSMC's CoWoS advanced-packaging queue, a capacity constraint J.P. Morgan flagged running through 2027. The broader model-release pace continues to compress — Google's Gemini 3.7 Flash and xAI's Grok 4.6 were already logged last issue; this window added DeepSeek's V4 Pro, Meta's Muse Glimmer and Nvidia's Nemotron 3.5 Lightning, none independently verified with primary sourcing this run (**aggregator-sourced**).

GEOPOLITICS

Russia's heaviest single-day assault on Ukrainian civilians in weeks: a daytime double-tap drone strike on a shopping center in Kryvyi Rih Friday killed at least 16 and injured 130, including 23 children, with a second jet-powered Shahed-type drone striking roughly 30 minutes after the first, timed to hit first responders. Separate strikes in Mykolaiv and Kharkiv brought Friday's nationwide toll to at least 21. Zelensky called it "an absolutely cynical and vile strike." Xi Jinping's Sept. 24 Washington summit with Trump remains on the calendar, export controls and rare-earths still the friction point — unchanged since last issue.

IRAN & HORMUZ

This window's central fact is the UAE's break with Tehran. After air defenses intercepted two Iranian ballistic missiles Tuesday — one falling in UAE territorial waters, the first such intercept since mid-July — Abu Dhabi announced just after midnight Wednesday it was suspending "all activities, trade exchanges, and financial transactions with Iran... until further notice," closing off one of Tehran's last significant economic lifelines at a moment its own oil exports are already visibly strained. The 60-day US-Iran MoU deadline (signed at Versailles in June) expired Monday with no breakthrough; Trump said the deadline "wasn't a hard deadline" and there's no sign its expiration triggers new US strikes, but he separately threatened Monday to bomb Oman "if it gets in the way" of a deal — the second such threat of the war — while Oman continues mediating shipping-route talks with Tehran that Iran's IRGC says involve no direct US contact. Those Oman-Iran talks have produced a finalized

route map (northern inbound lane through Iranian waters, southern outbound lane through Omani waters, plus a proposed joint coordination center) but Tehran is explicit the map alone doesn't reopen the strait; Parliament Speaker Ghalibaf laid out the actual conditions this week — full removal of the naval blockade, lifted oil sanctions, and unfrozen assets, tied to the original 14-point MoU. Treasury Secretary Bessent said further sanctions, described as the "toughest in history," are coming Monday; Iran's armed forces chief warned of a "crushing" response to new threats. **Sanctions substance not yet public — watch Monday.**

SPORTS

Yankees	Beat Toronto 3-1 Fri (Jones 2-run HR), 5th straight win. 73-55, 2nd AL East, 3.0 GB Tampa Bay.
Knicks	Off-season, no game. Hart extension unsigned.
Northwestern	Off-season, no game. Opens Sat 9/5, 7:00p CT vs. South Dakota State.

Continuity. Dropped as unchanged/stale: Xi-Trump summit mechanics, Sudan, Gaza ceasefire track, the 8/19 tariff actions, and an unrelated April UK Hormuz coalition meeting pulled up in error and excluded. Watching: Monday's sanctions detail, the Cook deadline, the dense Wed 8/26 catalyst cluster, Warsh's Jackson Hole keynote, a current VIX close and a reconciled gold quote.

Unverified figures are marked in red. Nothing was estimated or filled from memory.